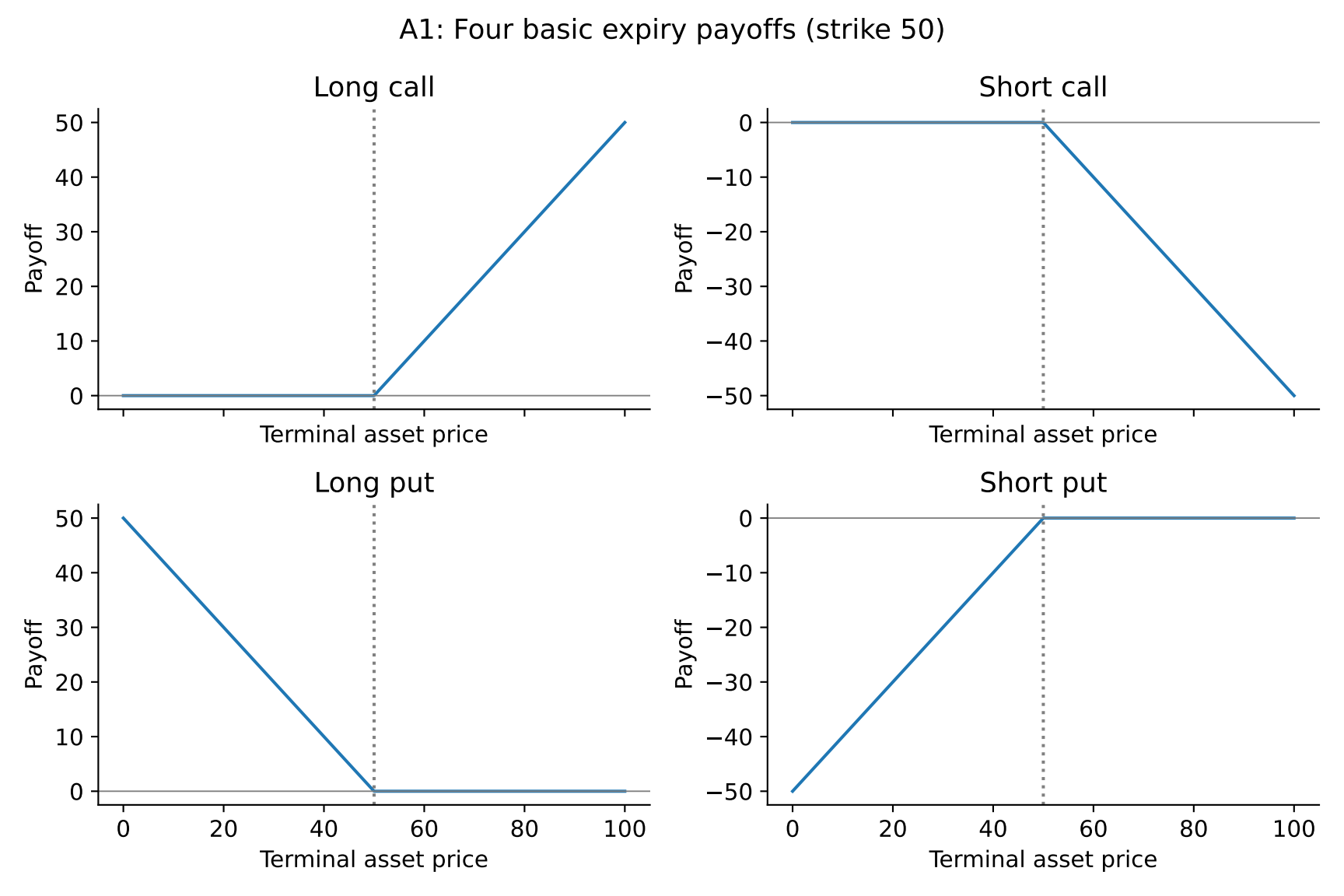
A1: Four basic expiry payoffs (strike 50)
Long call
Short call
Long put
Short put
Payoff
Terminal asset price
50
40
30
20
10
0
−10
−20
−30
−40
−50
0
20
40
60
80
100